

Chambers of Commerce and Industry (FICCI), says these are extraordinary times calling for extraordinary measures. For the last fortnight, Mukherjee has been holding a series of pre-budget meetings with industrialists and representatives of key sectors of industry to listen to their suggestions and experiences. Their verdict on the state of the economy will be crucial to stimulate growth and formulate a budget that

strikes a crucial balance between big business and *aam admi*.

That verdict looks something like this. India seems to be on the path of recovery with green shoots in core sectors and a return of consumer confidence. The downside is that the GDP growth rate is down from 9 per cent to 6.5 per cent, capital formation has slowed down, exports have slid and new capital investment has dried up.

Not surprisingly, the must dos for the finance minister emanating from pre-budget parleys add up to a tall order. Apex industry chambers have given Mukherjee their priorities, which is to return to a 9 per cent growth trajectory through an investment-oriented budget to stimulate demand. This will need allocation of larger resources for infrastructure, a push to disinvestment, increase in social spending and tax reforms. Unless the Government hands out such incentives for investment, industry says it cannot

pump in money to create capacity. If capacity doesn't expand, there will be no demand for goods and services, and hence, no consumption and no growth.

According to Associated Chambers of Commerce and Industry of India (ASSOCHAM), if these needs and responses were to be factored in, the Government could well be looking at a stimulus package of Rs 1 lakh crore. Finding the money means disinvestment. Both CII and Assocham feel that partial disinvestment, say up to 51 per cent in the top 10-15 public sector enterprises, could rake in Rs 30,000 crore and help mobilise resources for investing in new projects and programmes. "Partial offloading of shares in existing public sector companies would ensure that the Government does not lose management control," says Chandrajit Banerjee, director-general, Confederation of Indian Industry (CII).

Of course, each chamber has its own mantra on how the Budget should lead recovery. For FICCI president Harsh Pati Singhania, the budget needs to push investment towards the launch of a second green revolution

MUKHERJEE HAS TO STRIKE A CRUCIAL BALANCE BETWEEN BIG BUSINESS AND AAM ADMI



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- Favourable investment climate by re-introduction of investment allowance and lower corporate tax rate to spur growth.
- Weighted deduction of 150 per cent for investments in agriculture infrastructure and research and development to usher in a second green revolution.
- Incentives for private sector investments in healthcare and infrastructure status for making inclusive growth a reality.
- Boost to low-cost housing with restoration of tax holidays for driving development of the social sector.

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- Continuation of tax holidays for 100 per cent export-oriented units to revive investment in export production capacity.
- Boost to exports by increasing interest rate subvention for exports from 2 to 3 per cent to cap the decline in exports.
- Abolition of Inverted Custom Duty which imposes higher custom duty rate on import of input material than the duty on finished products so as to make exports competitive.
- Special export incentive for textiles, gems and jewellery and other value-added exports to create jobs for half-a-million jobless workers.